

MISP Code of Conduct & Sec. 42 (D) of the Insurance Act declaration

Code of conduct for MISP and its employees

Every MISP Shall:-	Every MISP Shall Not:-
- offer a choice of motor insurance policies of different insurer(s) to the prospect; - inform the prospect of the premium rates of different insurers; - issue the motor insurance policy on obtaining the express consent of the prospect; - make available to the policyholder a copy of the insurance policy in electronic form; - have a separate dedicated Bank Account linked to the MISP PAN number in which all payments are received from insurer(s) or insurance intermediary; - ensure issuance of receipt of the insurer on receiving insurance premium; - share the data submitted by the prospect/ policyholder policyholders containing his contact number, mobile number and other details relevant for insurance with the insurers; - transfer data of the policyholders and registration & other particulars of the automobile to the insurers at the end of the day; - undertake reconciliation on a weekly basis on the motor insurance policies distribution & premium collected between the MISP, the sponsoring entity & the insurer; - prominently display copy of the code of conduct on its premises; - furnish any information as required by the Authority relating to insurance business; - submit periodical returns as required by the Authority; - cooperate in any inquiry conducted by the Authority; - follow the code of conduct given below; - comply with any other requirement which the Authority may specify.	- receive any payment directly or indirectly for outsourcing activity behalf of either the insurer or the insurance intermediary; - force the prospect/ policyholder to necessarily buy motor insurance policy through a particular insurance intermediary or insurer; - deny the prospect his rights and options to seek motor insurance policy or renewal of motor insurance policy from any insurer or insurance intermediary; - directly or indirectly control or interfere in determination of premium of policies; - direct or indirect imposition of risk selection by insurers or curtailment of choice of the prospect/ policyholder; - interfere in product design; - interfere in the appointment of surveyors and loss assessors assessment activities; - directly or indirectly influence the claims for inflating its revenue; - solicit motor insurance business from those persons who did not buy the automobile from it; - issue a motor insurance policy or a motor insurance cover note that carries name or logo or any other symbol, except that of the insurer; - conduct its business in a manner prejudicial to the interests of the policyholders; - indulge in manipulating the insurance business; - indulge in unfair trade practices; - default in complying with, or acts in contravention of, any requirement of the Act, IRDA Act, 1999 or of any rule or any regulation or order made or any direction issued thereunder; - default in complying with any direction issued or order made, by the Authority;

TATA MOTORS INSURANCE BROKING AND ADVISORY SERVICES LIMITED

Composite Brokers License No. 375 | Validity 13/05/2020 to 12/05/2023 | CIN: U50300MH1997PLC149349

Corp Office: 1st Floor AFL House Lok Bharti complex Marol Maroshi Road Andheri (East) Mumbai 400 059

Registered Office: Nanavati Mahalaya 3rd floor Tamarind Lane Homi Mody Street Fort Mumbai 400 001

A sister Company of TATA AIA Life Insurance Company Limited and TATA AIG General Insurance Company Limited

(Refer Guidelines on Motor Insurance Service Providers issued on 31st August 2017)

1. MISP and its employees shall follow recognised standards of professional conduct and discharge their functions in the interest of the policyholders.

2. Conduct in matters relating to clients relationship - MISP and its employees shall:

- a) conduct its dealings with clients with utmost good faith and integrity at all times;
- b) act with care and diligence;
- c) ensure that the client understands their relationship with the insurer;
- d) treat all information supplied by the prospective clients as completely confidential to themselves and to the insurer to which the business is being offered;
- e) take appropriate steps to maintain the security of confidential documents in their possession;
- f) avoid conflict of interest.
- g) obtain necessary documents required under KYC norms
- h) assist the client in opening e-insurance account.

3. Conduct in matters relating to Sales practices - MISP and its employees shall:

- a) identify itself and explain the products that are on offer;
- b) ensure that the client understands the type of service it can offer;
- c) ensure that the policy proposed is suitable to the needs of the prospective client;
- d) explain why a policy or policies are proposed;
- e) state the period of cover for which the quotation remains valid if the proposed cover is not effected immediately;
- f) explain when and how the premium is payable and how such premium is to be collected;
- g) explain the procedures to follow in the event of a loss.
- h) not indulge in any sort of money laundering activities.
- i) ensure that it does not indulge in misleading calls or spurious calls.

4. Conduct in relation to furnishing of information - MISP and its employees shall:

- a) ensure that the consequences of non-disclosure and inaccuracies are pointed out to the prospective client;
- b) avoid influencing the prospective client and make it clear that all the answers or statements given are the latter's own responsibility. Ask the client to carefully check details of information given in the documents and request the client to make true, fair and complete disclosure where it believes that the client has not done so and in case further disclosure is not forthcoming it should consider declining to act further;
- c) explain to the client the importance of disclosing all subsequent changes that might affect the insurance throughout the duration of the policy; and
- d) disclose on behalf of its client all material facts within its knowledge and give a fair presentation of the risk.

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5. Conduct in relation to explanation of insurance contract - MISIP and its employees shall:

- a) explain all the essential provisions of the cover afforded by the policy recommended by him so that, as far as possible, the prospective client understands what is being purchased;
- b) draw attention to any warranty imposed under the policy, major or unusual restrictions, exclusions under the policy and explain how the contract may be cancelled;
- c) provide the client with prompt written confirmation that insurance has been effected. If the final policy wording is not included with this confirmation, the same shall be forwarded as soon as possible;
- d) notify changes to the terms and conditions of any insurance contract and give reasonable notice before any changes take effect;

6. Conduct in relation to renewal of policies - MISIP and its employees shall:

- a) ensure that its client is aware of the expiry date of the insurance even if it chooses not to offer further cover to the client;
- b) ensure that renewal notices contain a warning about the duty of disclosure including the necessity to advise changes affecting the policy, which have occurred since the policy inception or the last renewal date;
- c) ensure that renewal notices contain a requirement for keeping a record (including copies of letters) of all information supplied to the insurer for the purpose of renewal of the contract;
- d) ensure that the client receives the insurer's renewal invitation well in time before the expiry date.

7. Conduct in relation to claim by client - MISIP and its employees shall:

- a) explain to its clients their obligation to notify claims promptly and to disclose all material facts and advise subsequent developments as soon as possible;
- b) request the client to make true, fair, and complete disclosure where it believes that the client has not done so. If further disclosure is not forthcoming it shall consider declining to act further for the client;
- c) give prompt advice to the client of any requirements concerning the claim;
- d) forward any information received from the client regarding a claim or an incident that may give rise to a claim without delay, and in any event within three working days;
- e) advise the client without delay of the insurer's decision or otherwise of a claim; and give all reasonable assistance to the client in pursuing his claim.

8. Conduct in relation to receipt of complaints - MISIP and its employees shall:

- a) ensure that letters of instruction, policies and renewal documents contain details of complaints handling procedures;
- b) accept complaints either by phone or in writing;
- c) acknowledge a complaint within fourteen days from the receipt of correspondence, advise the member of staff who will be dealing with the complaint and the timetable for dealing with it;

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- d) ensure that response letters are sent and inform the complainant of what he may do if he is unhappy with the response;
- e) ensure that complaints are dealt with at a suitably senior level;
- f) have in place a system for recording and monitoring complaints.

9. Conduct in relation to documentation - MISP and its employees shall:

- a) ensure that any documents issued comply with all statutory or regulatory requirements from time to time in force;
- b) send policy documentation without avoidable delay,
- c) make available, with policy documentation, advice that the documentation shall be read carefully and retained by the client;
- d) not withhold documentation from its clients without their consent, unless adequate and justifiable reasons are disclosed in writing and without delay to the client. Where documentation is withheld, the client must still receive full details of the insurance contract;
- e) acknowledge receipt of all monies received in connection with an insurance policy;
- f) ensure that the reply is sent promptly or use its best endeavours to obtain a prompt reply to all correspondence;
- g) ensure that all written terms and conditions are fair in substance and set out, clearly and in plain language, client's rights and responsibilities; and
- h) make available to any new registered entity instructed by the client all documentation to which the client is entitled.
- i) Assist the client is obtaining / receiving electronic motor insurance policies.

10. Conduct in matters relating to advertising - MISP and its employees shall conform to the relevant provisions of the Insurance Regulatory and Development Authority (Insurance Advertisements and Disclosure) Regulations, 2000, and :-

- a) ensure that statements made are not misleading or extravagant;
- b) where appropriate, distinguish between contractual benefits which the insurance policy is bound to provide and non-contractual benefits which may be provided;
- c) ensure that advertisements contain nothing which is in breach of the law nor omit anything which the law requires;
- d) ensure that advertisement does not encourage or condone defiance or breach of the law;
- e) ensure that advertisements contain nothing which is likely, in the light of generally prevailing standards of decency and propriety, to cause grave or widespread offence or to cause disharmony;
- f) ensure that advertisements are not so framed as to abuse the trust of clients or exploit their lack of experience or knowledge;
- g) ensure that all descriptions, claims and comparisons, which relate to matters of objectively ascertainable fact shall be capable of substantiation.

11. Conduct in matters relating receipt of distribution fees - MISP and its employees shall if requested by a client, disclose the amount of distribution fee and the basis of the distribution fee it receives as a result of effecting insurance for that client.

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12. Conduct in relation to matters relating to training - MISP and its employees shall:

- a) ensure that its staff are aware of and adhere to the standards expected of them by this code;
- b) ensure that staff are competent, suitable and have been given adequate training;
- c) ensure that there is a system in place to monitor the quality of advice given by its staff;
- d) ensure that members of staff are aware of legal requirements including the law of agency affecting their activities; and only handle classes of business in which they are competent;
- e) draw the attention of the client to Section 4I of the Act, which prohibits rebating and sharing of commission.

13. Information and Education

- a) Every MISP shall support industry education initiatives aimed at explaining insurance to consumers and the community.
- b) Every MISP and its employees shall make readily available to client:
 - Up-to-date information on motor insurance;
 - Information to assist insured to determine the level of insurance cover they may require; and
 - Information about motor insurance products, services and this Code.

14. Every MISP shall display in every office where it is carrying on motor insurance business and to which the public have access a notice to the effect that a copy of the code of conduct is available upon request and that if a member of the public wishes to make a complaint or requires the assistance of the Authority in resolving a dispute, he may write to the Authority.

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Extract of Insurance Act, 1938

42D. (1) The Authority or an officer authorized by it in this behalf shall, in the manner determined by the regulations made by the Authority and on payment of the fees determined by the regulations made by the Authority, issue to any person making an application in the manner determined by the regulations, and not suffering from any of the disqualifications herein mentioned, a licence to act as an intermediary or an insurance intermediary under this Act:

Provided that,-

- (a) in the case of an individual, he does not suffer from any of the disqualifications mentioned in sub-section (4) of section 42, or
- (b) in the case of a company or firm, any of its directors or partners does not suffer from any of the said disqualifications.

(2) A licence issued under this section shall entitle the holder thereof to act as an intermediary or insurance intermediary.

(3) A licence issued under this section shall remain in force for a period of three years only from the date of issue, but shall, if the applicant, being an individual does not, or being a company or firm any of its directors or partners does not suffer from any of the disqualifications mentioned in clauses (b), (c), (d), (e) and (f) of sub-section (4) of section 42 and the application for renewal of licence reaches the issuing authority at least thirty days before the date on which the licence ceases to remain in force, be renewed for a period of three years at any one time on payment of the fee, determined by the regulations made by the Authority and additional fee for an amount determined by the regulations, not exceeding one hundred rupees by way of penalty, if the application for renewal of the licence does not reach the issuing authority at least thirty days before the date on which the licence ceases to remain in force.

(4) No application for the renewal of a licence under this section shall be entertained if the application does not reach the issuing authority before the licence ceases to remain in force:

Provided that the Authority may, if satisfied that undue hardship would be caused otherwise, accept any application in contravention of this sub-section on payment by the application of the penalty of seven hundred and fifty rupees.

(5) The disqualifications above referred to shall be the following: -

- (a) that the person is a minor;
- (b) that he is found to be of unsound mind by a court of competent jurisdiction;
- (c) that he has been found guilty of criminal misappropriation or criminal breach of trust or cheating or forgery or an abetment of or attempt to commit any such offence by a court of competent jurisdiction:

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Provided that, where at least five years have elapsed since the completion of the sentence imposed on any person in respect of any such offence, the Authority shall ordinarily declare in respect of such person that his conviction shall cease to operate as a disqualification under this clause;

- (d) that in the course of any judicial proceedings relating to any policy of insurance of the winding up of an insurance company or in the course of an investigation of the affairs of an insurer it has been found that he has been guilty of or has knowingly participated in or connived at any fraud dishonestly or misrepresentation against an insurer or an insured;
- (e) that he does not possess the requisite qualifications and practical training for a period not exceeding twelve months, as may be specified by the regulations made by the Authority in this behalf;
- (f) that he has not passed such examinations as may be specified by the regulations made by the Authority in this behalf;
- (g) that he violates the code of conduct as may be specified by the regulations made by the Authority.

(6) If it be found that an intermediary or an insurance intermediary suffers from any of the foregoing disqualifications, without prejudice to any other penalty to which he may be liable, the Authority shall, and if the intermediary or an insurance intermediary has knowingly contravened any provisions of this Act may cancel the licence issued to the intermediary or insurance intermediary under this section.

(7) The Authority may issue a duplicate licence to replace a licence lost, destroyed or mutilated, on payment of such fee, as may be determined by the regulations made by the Authority.

(8) Any person who acts as an intermediary or an insurance intermediary without holding a licence issued under this section to act as such, shall be punishable with fine, and any insurer or any person who appoints as an intermediary or an insurance intermediary or any person not licensed to act as such or transacts any insurance business in India through any such person, shall be punishable with fine.

(9) Where the person contravening sub-section (8) is a company or a firm, then, without prejudice to any other proceedings which may be taken against the company or firm, every director, manager, secretary or other officer of the company, and every partner of the firm who is knowingly a party to such contravention shall be punishable with fine.

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